Kestrel Pay: Q3 2026 Quarterly Report

Quarter ended 30 September 2026. Preliminary.

Field	Detail
Prepared by	Tom Whitfield, Financial Controller
Reviewed by	Daniel Reyes, Chief Financial Officer
Distribution	Finance team and exec team
Entities	Kestrel Pay Ltd and Kestrel Pay Europe Ltd, combined, in GBP
Status	Preliminary. July and August are closed. September revenue comes from the daily revenue ledger to 29 September plus a forecast for 30 September; September costs are accrued at forecast.
Final figures	After the September close on WD6 (Thursday 8 October 2026). We will reissue this report if any line moves by more than 1%.

1. Summary

Measure	Q3 2026	Q3 2025	Change	YTD 2026	YTD budget
Revenue	£41.2m	£35.2m	+17.0%	£118.3m	£119.0m
Gross margin	58.0%	56.1%	+1.9 pts	57.5%	58.0%
EBITDA	£2.1m	£0.9m	+£1.2m	£5.4m	£6.1m
Merchant customers at quarter end	49,870	43,950	+13.5%		
Headcount at quarter end	604	548	+56		

- **Revenue was £41.2m**, up 17.0% on Q3 2025 and 4.3% on Q2 2026. It was £313k (0.8%) below the budget of £41.5m: Checkout and Payouts were slightly behind in July and August, and September beat budget once the two payroll bureaus went live on Payouts on 1 September.
- **Gross margin was 58.0%**, up 0.6 points on Q2 and 1.9 points on a year ago, and 0.5 points below budget. Fraud losses (£83k over budget) and hosting usage above our committed capacity (£36k over) explain most of the gap.
- **EBITDA was £2.1m** (5.2% of revenue) against a budget of £2.4m. Operating costs were £145k under budget: staff costs were £310k under because hiring is behind plan, and professional fees were £305k over.
- **Headcount was 604** against a budget of 618. Following the exec decision of 11 September, non-critical backfills are paused from 1 October, and we now forecast 625 at year end against a budget of 640.
- **Cash was £70.1m** at 30 September (£71.3m at 30 June). This excludes customer funds, which are held in safeguarding accounts.
- **Full-year forecast:** revenue £161.0m (budget £162.0m) and EBITDA £7.7m (budget £8.6m).

2. Income statement

Table 1: Income statement, £000

Line	Q3 2026	Q2 2026	Q3 2025	Q3 2026 budget	Variance to budget
Kestrel Checkout	22,604	21,874	19,812	22,780	(176)
Kestrel Accounts	10,286	9,812	8,902	10,310	(24)
Kestrel Payouts	8,297	7,800	6,500	8,410	(113)
Total revenue	**41,187**	**39,486**	**35,214**	**41,500**	**(313)**
Interchange and scheme fees	(11,420)	(11,130)	(10,240)	(11,480)	60
Banking and safeguarding costs	(2,310)	(2,240)	(2,050)	(2,290)	(20)
Processing and hosting	(2,186)	(2,105)	(1,930)	(2,150)	(36)
Fraud losses and chargebacks	(1,383)	(1,346)	(1,239)	(1,300)	(83)
Total cost of revenue	**(17,299)**	**(16,821)**	**(15,459)**	**(17,220)**	**(79)**
Gross profit	**23,888**	**22,665**	**19,755**	**24,280**	**(392)**
Gross margin	58.0%	57.4%	56.1%	58.5%	(0.5) pts
Staff costs	(13,940)	(13,610)	(12,180)	(14,250)	310
Technology and software	(1,820)	(1,760)	(1,590)	(1,850)	30
Sales and marketing	(2,360)	(2,180)	(2,040)	(2,400)	40
Premises and office	(1,140)	(1,130)	(1,060)	(1,150)	10
Professional fees	(1,265)	(980)	(890)	(960)	(305)
Regulatory and compliance	(640)	(610)	(540)	(650)	10
Other operating costs	(590)	(560)	(520)	(640)	50
Total operating costs	**(21,755)**	**(20,830)**	**(18,820)**	**(21,900)**	**145**
EBITDA	**2,133**	**1,835**	**935**	**2,380**	**(247)**
EBITDA margin	5.2%	4.6%	2.7%	5.7%	(0.5) pts

Table 1 continues on the next page.

Table 1 (continued): Income statement below EBITDA, £000

Line	Q3 2026	Q2 2026	Q3 2025	Q3 2026 budget	Variance to budget
EBITDA (from previous page)	2,133	1,835	935	2,380	(247)
Depreciation and amortisation	(1,410)	(1,380)	(1,240)	(1,450)	40
Operating profit (loss)	**723**	**455**	**(305)**	**930**	**(207)**
Net finance income	310	290	260	280	30
Profit (loss) before tax	**1,033**	**745**	**(45)**	**1,210**	**(177)**
Tax	(258)	(186)	0	(303)	45
Profit (loss) after tax	**775**	**559**	**(45)**	**907**	**(132)**

Brackets show costs, losses and adverse variances. There was no tax charge in Q3 2025 because of losses brought forward.

Commentary on the income statement

- **Cost of revenue** was £79k over budget. Fraud losses and chargebacks were £83k over, mostly two merchant fraud cases in August (£61k, of which £12k has been recovered so far). Processing and hosting was £36k over because Payouts traffic in September pushed usage above the committed capacity in our hosting contract with Ashgrove Cloud Services (KPC-2026-0142). Interchange and scheme fees were £60k under, in line with lower Checkout volume.
- **Staff costs** were £310k under budget. Average headcount in the quarter was 597 against a budgeted 608.
- **Professional fees** were £305k over budget, for three reasons: interim fieldwork for the 2026 safeguarding audit by Fernside & Co LLP (£140k, KPC-2026-0326), brought forward from Q4; legal fees for the Dublin office lease (£85k); and EU VAT and OSS registration advice from Ostrander Tax Advisers LLP (£80k, KPC-2026-0301).
- **Sales and marketing** rose £180k on Q2 because of the September merchant acquisition campaign in Ireland, but stayed £40k under budget.
- **Net finance income** is interest on Kestrel's own cash. It does not include any return on customer funds.

3. Revenue

Table 2: Revenue by product, £m

Product	Q3 2026	Q2 2026	Q3 2025	Change on Q3 2025	Q3 2026 budget	Share of Q3 2026
Kestrel Checkout	22.6	21.9	19.8	+14.1%	22.8	54.9%
Kestrel Accounts	10.3	9.8	8.9	+15.5%	10.3	25.0%
Kestrel Payouts	8.3	7.8	6.5	+27.6%	8.4	20.1%
Total	**41.2**	**39.5**	**35.2**	**+17.0%**	**41.5**	**100.0%**

Payouts grew fastest. Its share of revenue rose from 18.5% in Q3 2025 to 20.1%.

Table 3: Revenue by region, £m

Region	Q3 2026	Q2 2026	Q3 2025	Change on Q3 2025	Share of Q3 2026
United Kingdom	29.4	28.5	25.9	+13.5%	71.4%
Ireland	4.6	4.3	3.7	+23.2%	11.1%
Portugal	3.1	2.9	2.3	+36.1%	7.6%
Rest of EU	4.1	3.8	3.3	+23.8%	9.9%
Total	**41.2**	**39.5**	**35.2**	**+17.0%**	**100.0%**

Regions follow the merchant's country of registration. UK merchants are served by Kestrel Pay Ltd and EU merchants by Kestrel Pay Europe Ltd.

Table 4: Q3 2026 revenue by product and region, £m

Product	United Kingdom	Ireland	Portugal	Rest of EU	Total
Kestrel Checkout	16.0	2.6	1.8	2.2	22.6
Kestrel Accounts	7.6	1.1	0.7	0.9	10.3
Kestrel Payouts	5.8	0.9	0.6	1.0	8.3
Total	**29.4**	**4.6**	**3.1**	**4.1**	**41.2**

Table 5: Revenue by month, £000

Product	July 2026	August 2026	September 2026 (flash)	Q3 2026
Kestrel Checkout	7,431	7,298	7,875	22,604
Kestrel Accounts	3,398	3,402	3,486	10,286
Kestrel Payouts	2,691	2,701	2,905	8,297
Total revenue	**13,520**	**13,401**	**14,266**	**41,187**
Budget	13,700	13,650	14,150	41,500
Variance to budget	(180)	(249)	116	(313)

August is usually our weakest month for UK card volume. September was the strongest month we have had: Payouts revenue rose 7.6% on August as the two payroll bureaus started.

4. Key measures

Table 6: Key measures

Measure	Q3 2026	Q2 2026	Q3 2025
Merchant customers at quarter end	49,870	48,210	43,950
Net new merchants in the quarter	1,660	1,330	1,410
Average monthly merchant churn	0.9%	1.0%	1.1%
Kestrel Checkout payment volume	£4.91bn	£4.76bn	£4.27bn
Checkout take rate	0.46%	0.46%	0.46%
Kestrel Payouts volume	£1.93bn	£1.76bn	£1.44bn
Total payment volume	£6.84bn	£6.52bn	£5.71bn
Business accounts open at quarter end	31,400	30,600	27,900
Customer funds safeguarded at quarter end	£1.27bn	£1.24bn	£1.08bn

5. Headcount

Table 7: Headcount by department at 30 September 2026

Department	30 Sep 2026	30 Jun 2026	Budget 30 Sep 2026	Variance to budget
Engineering	212	205	220	(8)
Product and Design	38	37	39	(1)
Operations	138	136	140	(2)
Sales and Customer Success	96	93	99	(3)
Marketing	24	24	25	(1)
Finance	31	30	31	0
Legal and Compliance	27	26	28	(1)
People	18	18	18	0
Executive and Central	20	20	18	2
Total	**604**	**589**	**618**	**(14)**

Executive and Central is two over budget because two fixed-term roles supporting the Dublin office move were extended to December.

Table 8: Headcount by department and office at 30 September 2026

Department	London	Lisbon	Dublin	Remote (UK)	Total
Engineering	96	92	16	8	212
Product and Design	26	9	2	1	38
Operations	58	44	34	2	138
Sales and Customer Success	64	12	17	3	96
Marketing	19	4	1	0	24

Table 8 continues on the next page.

Table 8 (continued): Headcount by department and office at 30 September 2026

Department	London	Lisbon	Dublin	Remote (UK)	Total
Finance	25	4	2	0	31
Legal and Compliance	21	2	4	0	27
People	13	3	2	0	18
Executive and Central	16	2	2	0	20
Total	**338**	**172**	**80**	**14**	**604**

Table 9: Headcount movements in Q3 2026

Department	30 Jun 2026	Joiners	Leavers	30 Sep 2026
Engineering	205	13	6	212
Product and Design	37	2	1	38
Operations	136	8	6	138
Sales and Customer Success	93	7	4	96
Marketing	24	1	1	24
Finance	30	2	1	31
Legal and Compliance	26	2	1	27
People	18	1	1	18
Executive and Central	20	1	1	20
Total	**589**	**37**	**22**	**604**

Table 10: Headcount by office

Office	30 Sep 2026	30 Jun 2026	Change
London (HQ)	338	334	+4
Lisbon	172	168	+4
Dublin	80	73	+7
Remote (UK)	14	14	0
Total	**604**	**589**	**+15**

Of the 22 leavers, 18 left voluntarily, which is annualised voluntary attrition of 12.1%. There were 41 open requisitions at 30 September. Dublin grew fastest ahead of the move to the new office in December.

6. Cash and full-year forecast

Table 11: Cash movement in Q3 2026, £m

Item	£m
Cash at 30 June 2026	71.3
EBITDA	2.1
Working capital	(0.4)
Capital expenditure, including capitalised development	(2.6)
Lease payments	(0.6)
Net interest received	0.3
Cash at 30 September 2026	**70.1**

This is Kestrel's own cash. Customer funds (£1.27bn at 30 September) are held in safeguarding accounts at Albion Clearing Bank and Banco Meridional and are not available to the business.

Table 12: FY2026 forecast against budget

Measure	FY2026 forecast	FY2026 budget	Variance	FY2025 actual
Revenue	£161.0m	£162.0m	(£1.0m)	£138.4m
Gross margin	57.8%	58.2%	(0.4) pts	56.2%
EBITDA	£7.7m	£8.6m	(£0.9m)	£3.0m
Year-end headcount	625	640	(15)	562

The forecast assumes Q4 revenue of £42.7m (budget £43.0m) and Q4 EBITDA of £2.35m (budget £2.48m). It was £161.4m for revenue and £8.1m for EBITDA at the July board.

7. Notes and definitions

- **Checkout revenue** is the merchant service charge, before interchange and scheme fees, which are shown in cost of revenue.
- **Accounts revenue** is monthly account fees, interchange earned on Kestrel debit cards, and FX margin.
- **Payouts revenue** is per-payment fees and FX margin on supplier and payroll payouts.
- **Merchant customer:** a business with at least one Kestrel product live and at least one transaction or fee in the last 90 days.
- **Headcount:** permanent and fixed-term employees on payroll at the date. It excludes 23 contractors and 6 interns.
- **Take rate:** Checkout revenue divided by Checkout payment volume.
- **Budget:** the FY2026 budget approved by the board on 10 December 2025.
- Questions to Tom Whitfield. The final version will be filed in this folder after the September close.